

Who Holds the Kill Switch?

A teaching case on the Reserve Bank of India's draft Guidance on Regulatory Principles for Model Risk Management, 2026

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Case date: Saturday, 3 October 2026. Classroom decision date: Monday, 6 October 2026. Public facts only. Mahanadi Finance Limited and its people, book and complaint counts are composite. They are not a real firm and not a real filing.

Abstract

On 24 June 2026 the Reserve Bank of India released draft Guidance on Regulatory Principles for Model Risk Management, press release 2026-2027/528, signed by Brij Raj, Chief General Manager. Comments closed on 24 July 2026. On the morning of 3 October 2026 the paper is still being described, including by BW Legal World, as a draft. It has not been reported as a final Master Direction. The case asks a chief financial officer of a composite NBFC whether two live tools — a vendor credit score and a generative collections assistant — would survive the draft as public summaries describe it, and whether she should sign a control certificate on Friday.

The teaching point is not the technology. It is the signature. Artificial intelligence can generate a draft. Data can inform a score. Finance measures the loss. Accounting verifies the entry. Human judgment decides whether the model stays on.

1. The Monday question

Leela Patnaik had the board pack open before the tea arrived. She was chief financial officer of Mahanadi Finance Limited, written for this classroom as an upper-layer style non-bank lender based in Bhubaneswar, with branches along the river and a digital book in small-business working capital. The firm is invented so that students can argue without confusing a classroom with a filing. The paper on her second screen is not invented.

The 24 June release listed the entities in scope in one block: commercial banks, small finance banks, payments banks, local area banks, regional rural banks, urban co-operative banks, rural co-operative banks, all-India financial institutions, non-banking financial companies, asset reconstruction companies, and credit information companies. An NBFC does not get to sit this one out because it is not a bank. Comments were invited until 24 July 2026 through Connect 2 Regulate, or by post or email to the Chief General Manager, Operational Risk Group, Department of Regulation, Central Office, Shahid Bhagat Singh Marg, Fort, Mumbai 400 001. The subject line in the release was “Feedback on Guidance on Regulatory Principles for Model Risk Management.”

The chair of her risk committee had forwarded that morning's BW Legal World note with one line: would we survive this if it landed as written? Two tools sat outside the general ledger and could still move the numbers she signed. Neither had a kill switch a supervisor in Sambalpur could throw at nine at night.

2. Read the press release before the commentary

The release says model usage has expanded significantly and that regulated entities are increasingly using models, including those employing artificial intelligence and machine learning, across business and decision-making processes. Weaknesses in governance, oversight, risk management and controls may expose them to financial, operational, compliance and reputational risks. The draft, it says, provides holistic and broad regulatory expectations for model risk management across the model life cycle. It applies to all models

used by regulated entities, including third-party models and models employing AI and ML.

The background paragraph ties the draft to two earlier public documents. On 5 August 2024 the Reserve Bank issued draft Regulatory Principles for Management of Model Risks in Credit. On 13 August 2025 it published the report of the Committee on the Framework for Responsible and Ethical Enablement of Artificial Intelligence, FREE-AI. The June 2026 paper is the wider one. Not only credit. Not only models the firm built.

A classroom rule follows from that structure. A sentence in the press release is primary. A sentence in Mint or The Print on 26 June 2026 is same-week reporting of the draft. A sentence in a September nasscom note, or in the 3 October BW Legal World article, is later analysis. A figure that appears only in a secondary summary — the often-cited ten-year retention of decommissioned-model documentation is in that category — stays labelled “reported.” It is not promoted to a final rule in this case.

3. A model is defined by consequence, not by the label

Mint's explainer by Anshika Kayastha on 26 June 2026, and nasscom's later policy note, describe the draft's definition as technology-agnostic. A model is a system, built in-house or bought, that uses data and statistical, mathematical, financial or other reasoning, including AI and ML, to produce an output that influences a decision. The test is input, logic, and consequence. The brand name on the contract is not the test.

That is why a finance chief cannot hand the question to the technology committee and walk away. A provisioning spreadsheet that changes a stage transfer can be a model. A bureau scorecard can be a model. A generative assistant that drafts a message a borrower will read can be a model. Calling the credit tool "decision support" does not end the analysis if relationship managers cannot decline the score without an email to risk. Students of accounting already know the move. It is substance over form, applied to a score rather than a lease.

The press release is explicit that third-party models are in scope. The regulated entity is the entity the Reserve Bank is speaking to. You may rent the engine. You do not rent the signature. A SOC report is evidence about a vendor's control environment. It is not a back-test of the score on your book. A demo is not a validation. A security attestation answers a different question from the question the board is asking.

4. The framework public summaries converge on

Mint, The Print, nasscom and later legal notes converge on an architecture even where they differ in emphasis. A board-approved Model Risk Management Framework, reviewed periodically. Taxonomy, governance, scope, a method for risk tiering, an inventory, and documentation standards. Lifecycle management, oversight, change management and business continuity. Independent validation by the regulated entity, not a brochure accepted from the vendor.

Tiering is the practical heart. A marketing chatbot and a credit decision engine do not deserve the same control intensity. Public summaries point to materiality, complexity and autonomy. A model that updates itself, or that staff rely on without a check, sits higher. A model whose failure can move capital, conduct risk or a customer outcome sits higher. Finance should be in the room when tiers are set, because finance will sign the number the model moves.

Decommissioning is not an IT ticket. Summaries say users who rely on a model should be told before it is retired, so the switch does not catch teams off guard. Secondary legal summaries report a retention of about ten years for documentation of a retired model. Start the file. Evidence you did not keep is evidence you cannot show.

5. Artificial intelligence, named as a risk

The draft does not, on the public record, ban artificial intelligence. It asks whether the risks can be identified, measured and managed before deployment. nasscom lists the assessment factors in plain language: degree of automation, reliance on AI-generated outputs, customer impact, operational and financial consequences, and dependence on an external provider.

The failure modes are specific enough to teach. Limited explainability. Hallucinations in generative systems. Bias and discriminatory outcomes. Overfitting. Spurious correlations. Unstable outputs. Poor data. Data drift and concept drift. Intellectual property. BW Legal World, on 3 October 2026, added testing under abnormal and adversarial conditions, red-teaming where appropriate, and guards against prompt injection. It restated disclosure when a customer is interacting with AI, and mechanisms to override, suspend or deactivate, including kill switches.

Automation bias deserves its own line. It is the habit of trusting the screen because the screen was fast last week. A control that exists on paper and is never used is not a control. Whether staff override, and whether they have stopped overriding, is model risk. It is also part of the control environment an auditor will ask about without needing to read the weights.

6. The kill switch is a procedure

The Print, on 26 June 2026, reported the draft's language as override, suspension or deactivation mechanisms, including kill-switch arrangements, so that a human can shut down a faulty model. Mint put the same expectation in four clauses a student can memorise: human oversight at every stage, a switch to override or shut the model down, regular human checks of outputs, and measures so staff do not follow the model blindly. The Print's headline did the pedagogical work: a human firmly in the loop.

A switch that only the vendor can throw, in another time zone, on a fourteen-hour ticket, is not a switch. It is a telephone number. Business continuity has to say what the firm does while the model is off. Collections still need a message. Credit still needs a path to a decision, even if that path is slower and human. The log of who threw the switch, why, and when it was lifted is a record finance should be able to produce. If you cannot produce it, you cannot explain the decision.

Customer disclosure sits next to the switch. Where a customer interacts directly with an AI system, summaries of the draft say the firm should say so, explain the limits, and offer a human. A collection message drafted by a model and sent as if a person wrote it fails that test before anyone argues about tone.

7. The composite book

For the classroom, Mahanadi's assets under management are Rs 18,400 crore and gross stage-3 assets are 2.4 percent. Those figures are invented. Do not cite them as a filing. Leela Patnaik is 44, a chartered accountant, eighteen months in the chair after a private-bank finance role. Arvind Shenoy, chief risk officer, owns the credit-score vendor. Nandita Rao, chief operating officer, owns the collections assistant. Imran Qureshi, chief technology officer, owns neither contract end to end. The risk committee chair is a former public-sector banker who wants one page.

Tool One is a vendor credit score. The contract says decision support. In practice, relationship managers cannot override a decline below a published cut-off without an email from the risk head. The vendor supplied a financial-year 2025 back-test and a security attestation. Mahanadi has not validated the score on its own book. The score lives in a procurement spreadsheet.

Tool Two drafts the first collection message in Odia or Hindi from the delinquency bucket, the last payment, and a short note. Some messages are edited. Some are sent as drafted. There is no line telling the borrower a machine composed the text. After 8 pm the desk is thin. Suspension is a vendor ticket. In this composite, average ticket time last quarter was fourteen hours.

8. From model risk to the number she signs

Model risk becomes a CFO problem when it can move a provision, a yield, a complaint cost, or a capital conversation. On Tool One, a weekend management case — composite — suggested that loosening the cut-off by one notch would have approved an extra Rs 210 crore of limits in the September pipeline, with credit estimating a 40-basis-point higher early-delinquency rate on that slice. She has not booked an overlay. Ind AS 109 does not let a lender ignore a known weakness in an indicator of significant increase in credit risk merely because the weakness lives in a vendor model. She also lacks the evidence to size the overlay cleanly. Both facts can be true. The missing validation is why the overlay cannot be sized. It is not a reason to pretend the weakness is absent.

On Tool Two, conduct risk is not yet a provision line. In this composite August the firm logged 1,140 complaints mentioning tone or a wrong fact. Sixty-two alleged a fact the agent later said they had not typed. Legal has not classified them. If a share becomes compensation or a supervisory finding, the cost lands in

finance. Disclosure is a control an auditor can test without understanding the model.

Students should compute at least one finance number before they talk about governance: yield given up, loss given, complaint cost, or the cost of a model you cannot switch off while the book is open. Governance without a number is a poster. A number without a control is a surprise.

9. Exhibit A — the inventory she does not have

The table is a teaching template. It is not an extract from a real inventory. The point of the exercise is to see how many cells are empty or owned by a vendor.

Field	Tool One — credit score	Tool Two — collections draft
Owner in the firm	Chief risk officer	Chief operating officer
Built or bought	Third party, Bengaluru	Third party, generative
Input	Bureau, GST, statements	Bucket, last payment, note
Output	Score and a cut-off	Odia or Hindi message
Customer impact	Limit, decline, price	Tone, facts, complaint
Autonomy	Decline needs risk email	Some sent unedited
Validation	Vendor FY25 pack only	None on file
Kill switch	Vendor ticket	Vendor ticket, ~14 hours
Disclosure	Not a customer chat	No machine disclosure
On one inventory?	Procurement sheet	No

Exhibit A. Teaching inventory for Mahanadi Finance Limited. Composite. Not a filing.

Ask students to mark, in the margin, which cells would fail a question from an inspector who had read only the press release and the Mint explainer. The usual marks land on validation, kill switch, disclosure, and the inventory itself. Ownership by a chief risk officer is not the same as an inventory. A name on a contract is not a tier.

10. Exhibit B — a kill-switch procedure that could be used

This procedure is a teaching draft for Tool Two. It is not RBI text. It is what a CFO could table on Monday so that the committee sees a control rather than a slogan.

Trigger. A supervisor may suspend the assistant if a message contains a fact the agent did not enter, if complaint volume in an hour exceeds the desk's written threshold, or if the vendor reports degraded output. The authority sits with the night supervisor and with the chief operating officer. It does not sit only with the vendor.

Action. Suspension is a button on the desk system, logged with name, time, reason, and the message queue affected. While the tool is off, agents use a fixed template in Odia and Hindi that contains no generated sentence. The template says a colleague will call if the borrower asks for a person. Finance receives a morning note: time off, time on, volume sent on the template, and any complaint that arrived during the window.

Lift. The tool comes back only after the chief operating officer, or a named deputy, records why the trigger has cleared. A vendor email alone does not lift the switch. The log is retained with the model file. If the tool is retired, the desk is told before the switch, not after the complaints.

11. Exhibit C — the overlay she cannot yet size

Ind AS 109 asks whether there is a significant increase in credit risk, and what loss should be recognised. It does not ask whether the model was bought in Bengaluru. Leela's problem is evidence. A weekend case, composite, pointed to Rs 210 crore of extra limits and a 40-basis-point early-delinquency difference on that slice. She can show the case. She cannot show an independent validation. Booking a round overlay to look prudent, without a method, is its own audit finding. Booking nothing, while telling the board the score is decision support, is another.

A defensible Monday position is narrower. Disclose to the committee that the score is unclassified, that validation is the vendor's pack, and that an overlay will be proposed once risk completes a back-test on the firm's own book with an outcome window the audit committee can read. Until then, do not loosen the cut-off. Do not sign a sentence that says model risk is managed. The certificate and the overlay are different documents. Students who collapse them will miss the case.

12. Four questions before the certificate

Inventory. Is every tool that can move a limit, a provision, or a customer message on one list, with an owner in the firm? A model that is not inventoried cannot be tiered, and a model that cannot be tiered cannot be governed at the right intensity.

Validation. Who validated it, independently of the team that bought it? Show the population, the outcome window, the overrides, and the result on your book. A security attestation is welcome. It is not this answer.

Kill switch. Who can suspend it at 9 pm, how is that logged, what goes to the customer while it is off, and how does finance hear about it in the morning? If the answer is a vendor ticket, write "no switch" on the page.

Disclosure. Does the customer know a machine is in the conversation, and can they reach a person? What will you tell the auditor when a complaint alleges a fact no agent typed?

13. Discussion

Q1. Apply the reported definition. Is Tool One a model? Is Tool Two? Is the spreadsheet that rolls Leela's management overlay?

Q2. Substance over form. The contract says decision support. The desk cannot override a decline without an email. Who is accountable if the score is wrong, and in what order — firm, vendor, or both?

Q3. Write the Sambalpur test. Can a night supervisor stop Tool Two without calling Bengaluru? If not, what exactly is missing: authority, a button, a log, or a fallback message?

Q4. Draft a borrower-facing disclosure in simple language for a machine-composed collection message. Pair it with a human path.

Q5. Overlay or no overlay on 6 October? Separate the measurement question from the governance question. Which one is the certificate really about?

Q6. The comment window closed on 24 July. It is 3 October and the paper is still a draft. Cost of waiting, versus cost of building the inventory now.

Q7. Using only the 24 June press release, what did this paper add to the 5 August 2024 credit draft and the 13 August 2025 FREE-AI report? One paragraph. No secondary colour.

Q8. Where would you place each of the five verbs on Exhibit A: generate, inform, measure, verify, decide?

14. The one-page answer to the chair

The firm would not, today, survive the draft as the public summaries describe it. The inventory is split across a procurement sheet and an operations tool that is not listed. Validation of the credit score is the vendor's own financial-year 2025 pack. The collections assistant has no customer disclosure and no night-time kill switch. Finance is being asked to sign loss and complaint numbers that sit downstream of unclassified models. That is the finding. It can be said in one page. A sentence that says the firm is AI-ready cannot.

The work that does not require the final circular is also one page. Name an executive owner with a line to the board. Build one inventory this quarter, including spreadsheets that change a provision. Tier by materiality, complexity and autonomy. Write the kill-switch procedure, with a log and a fallback. Put disclosure and a human option on every customer-facing flow. Keep the evidence. Do not promote a secondary retention figure to law, and do not throw the file away.

The line for the slide is the line for the certificate. If you cannot detect the failure, contain the model, and explain the decision, do not sign.

15. What a student practises before the next class

Read the Reserve Bank press release of 24 June 2026 first. Then Mint or The Print of 26 June. Then one later note. In the margin, mark each sentence primary, same-week, or later. This is the habit that stops a future CFO signing a slide someone else generated.

Map one model. It can be a score mentioned in a public annual report, or a tool in a college finance lab. One page: owner, data, output, customer impact, how you would switch it off, and which verb is missing. If the explanation needs the vendor's brand name to make sense, you have a subscription, not a control. Explain it aloud in ninety seconds to a person who does not work in risk.

16. Teaching note

Eighty minutes. Ten for the press release, read aloud. Twenty for the two tools and Exhibit A. Fifteen for the kill-switch procedure in Exhibit B, rewritten by a student pair. Twenty for the overlay decision, kept separate from the governance finding. Fifteen for the five verbs and the assignment. The assignment is the one-page map, sources labelled, due before the next class.

Do not invent a final circular. As of the morning of 3 October 2026 this case treats the Guidance as a draft. If a student finds a later final direction, update the case. Until then the teaching point stands. Drafts become habits before they become circulars. The comment window is not the control window.

17. Sources

- Reserve Bank of India, press release 2026-2027/528, 24 June 2026, "RBI issues draft Guidance on Regulatory Principles for Model Risk Management." Brij Raj, Chief General Manager. Comments by 24 July 2026 via Connect 2 Regulate, or to the Operational Risk Group, Department of Regulation, Fort, Mumbai.
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- Anshika Kayastha, "Mint Explainer: RBI proposes structural controls, use case-based approach for AI/ML models," Mint, 26 June 2026.
- Vrinda Tulsian, "A human firmly in the loop: RBI proposes 'kill switch' for AI used by banks and NBFCs," The Print, 26 June 2026.

- nasscom public-policy community, analysis of the draft Guidance, September 2026.
- BW Legal World, “RBI’s AI Model Risk Management Framework: What the Draft Guidance Means for Banks and NBFCs,” 3 October 2026.

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18. Appendix — assignment sheet

Student name: _____ Date: 6 October 2026

Map one model. Public annual-report score, or a tool in the college finance lab.

Label every factual sentence primary, same-week, or later analysis.

1. Owner inside the firm, not only the vendor:
2. Data in:
3. Logic, in one line a director can read:
4. Output that can move a decision:
5. Customer impact:
6. How you would switch it off at 9 pm, and who may do it:
7. What the customer is told:
8. What finance measures if the model is wrong:
9. What accounting would need in order to verify the entry:
10. The human decision you are not willing to delegate:

Five verbs, one sentence each.

AI generates:

DATA informs:

FINANCE measures:

ACCOUNTING verifies:

HUMAN JUDGMENT decides:

Sources opened (minimum: RBI PR 2026-2027/528, 24 June 2026):

If you cannot detect the failure, contain the model, and explain the decision,
do not sign the control certificate.

Future CFO_DP. Composite case. Mahanadi Finance Limited is not a real firm.